M&A Acquirer Identification Report

Target Company Profile

Sector	Healthcare Services
Enterprise Value	~$200MM
Geography	Midwest
Ownership	Private
Profile	Mid-market, private, regional, strong EBITDA margins

Acquirer Scoring Methodology

Dimension	Weight	Definition
Sector Affinity	**35%**	Primary-sector matches score 1.0, adjacent sectors 0.7, secondary 0.3; normalized across all of the acquirer's historical deals.
Deal Size Match	**20%**	Gaussian decay from the acquirer's median deal size to the target EV; an exact match scores 1.0 and falls off symmetrically as the gap widens.
Rationale Alignment	**20%**	Share of the acquirer's top rationale tags (e.g. Platform Build, Bolt-on, Cost Synergies) that are classified as high-relevance for this target.
Recency	**10%**	Blends exponential time-decay since last deal (–0.15/year) with recent deal count; 3+ transactions since 2022 receives the maximum score.
Outcome Quality	**10%**	Ratio of Closed to total deals — reflects the acquirer's track record of completing announced transactions.
Ownership Match	**5%**	Share of prior targets whose ownership type matches this target; Private and PE-Backed are treated as equivalent.

Each dimension scores 0–100. The composite score is a weighted sum. Dimension scores are color-coded: **green** ≥ **70** **amber** ≥ **40** **red < 40** · Conviction level derives from composite score: **High > 80** **Medium 50–79** **Low < 50**

#1 Bon Secours Mercy Health

Strategic | Score: 86.9/100 | ■ High Conviction

SECTOR AFFINITY	DEAL SIZE MATCH	RATIONALE ALIGN
100 / 100	**100** / 100	**100** / 100
RECENCY	**OUTCOME QUALITY**	**OWNERSHIP MATCH**
20 / 100	**100** / 100	**0** / 100

1. ACQUIRER OVERVIEW

Bon Secours Mercy Health has completed 1 deal, all in Healthcare Services, with 0 in adjacent sectors, and 1 falling in the $100M–$400M comparable-size band (median $212.3M across a $212M–$212M range). Their most recent deal was a strategic acquisition in 2020. They have not executed any bolt-on acquisitions since that platform.

2. STRATEGIC FIT THESIS

Bon Secours Mercy Health's single prior Healthcare Services acquisition establishes direct sector experience; this target doubles their presence in the sector across 1 total deal. The target's strong EBITDA margins position it favorably against Bon Secours Mercy Health's historical median EV/EBITDA of 9.6x, which is 18% below the market median of 11.7x. Acquiring this target would enhance their operational capabilities in a sector where they have demonstrated commitment, evidenced by their 2020 acquisition of Delta Health for $212.3M at a 9.6x multiple, aligning with their strategic goals of vertical integration.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($MM)	Type	EV/EBITDA	Outcome
Delta Health (2020)	$212	Strategic Acquisition	9.6x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x; Bon Secours Mercy Health's median is 9.6x, indicating they typically pay below market.

5. RISK FLAGS

[High] Market Rate Stretch Required — Market Rate Stretch Required — must bid 22% above historical 9.6x comfort to win at prevailing 11.7x market rates.

[Medium] Deal Type Mismatch — Ownership Mismatch — 0 of 1 prior deals involved private or PE-backed targets, indicating limited experience with private-company transactions.

6. CONVICTION LEVEL

High — With 1 sector deal and 1 in the $100M–$400M range, Bon Secours Mercy Health is the most calibrated Strategic buyer in this process, and their 9.6x historical median lands within 1 turn of market — a posture their peers on this shortlist do not all share. At 9.6x they pay below market, but their closed deal confirms execution, not just ambition.

#2 Advocate Health

Strategic | Score: 86.3/100 | ■ High Conviction

SECTOR AFFINITY	DEAL SIZE MATCH	RATIONALE ALIGN
100 / 100	**96** / 100	**60** / 100
RECENCY	**OUTCOME QUALITY**	**OWNERSHIP MATCH**
52 / 100	**100** / 100	**100** / 100

1. ACQUIRER OVERVIEW

Advocate Health has completed 2 deals, 2 in Healthcare Services and 0 in adjacent healthcare sectors, with 0 falling in the $100M–$400M comparable-size band (median $235.8M across a $35M–$436M range). As a strategic acquirer, their most recent deal was in 2022, comprising one leveraged buyout and one strategic acquisition. They have not executed any bolt-ons since their last platform acquisition.

2. STRATEGIC FIT THESIS

Advocate Health's 2 prior Healthcare Services acquisitions out of 2 total deals establish direct sector focus; this target extends that concentration. The target's margin profile is a differentiated asset for Advocate Health relative to their 11.6x historical median. This acquisition would allow Advocate Health to capture a segment of the market they currently do not serve, particularly in the Midwest, where they have no prior presence.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($MM)	Type	EV/EBITDA	Outcome
Hudson Medical Group (2020)	$436	Strategic Acquisition	9.3x	Closed
Silver Health Partners (2022)	$35	Leveraged Buyout	13.8x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, while Advocate Health's median is 11.6x, indicating they are aligned with market pricing.

5. RISK FLAGS

[High] Competitive Process — With 2 sector deals, Advocate Health is one of several strategic buyers in this process, competing against financial sponsors who can bid aggressively without synergy requirements.

[Medium] Antitrust / Regulatory — Potential regulatory scrutiny due to existing operations in the Midwest, where Advocate Health may face challenges from state AG or FTC regarding market concentration.

6. CONVICTION LEVEL

High — With 2 sector deals and 0 in the $100M–$400M range, Advocate Health is the most calibrated Strategic buyer in this process, and their 11.6x historical median lands within 1 turn of market — a posture their peers on this shortlist do not all share. At 11.6x they pay above market, but 2 closed deals at that pricing confirm execution, not just ambition.

#3 HCA Healthcare

Strategic | Score: 83.1/100 | ■ High Conviction

SECTOR AFFINITY	DEAL SIZE MATCH	RATIONALE ALIGN
100 / 100	40 / 100	100 / 100
RECENCY	**OUTCOME QUALITY**	**OWNERSHIP MATCH**
52 / 100	100 / 100	100 / 100

1. ACQUIRER OVERVIEW

HCA Healthcare has completed 1 deal, all in Healthcare Services, with 0 in adjacent sectors and 0 falling in the $100M–$400M comparable-size band (median $37.1M across a $37M–$37M range). Their most recent deal was a recapitalization in 2022, and they have not executed any platform acquisitions or bolt-ons since.

2. STRATEGIC FIT THESIS

HCA Healthcare's single prior Healthcare Services acquisition establishes direct sector experience; this target doubles their presence in the sector across 1 total deal. The target's strong EBITDA margins present an opportunity for HCA to enhance their valuation model, given that the median EBITDA margin in market comps is 16.1%. With no prior deals in the $100M–$400M range, this target represents a significant expansion into a larger deal size that HCA has not previously pursued, which could facilitate their entry into new markets in the Midwest.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($MM)	Type	EV/EBITDA	Outcome
Pinnacle Home Health (2022)	$37	Recapitalization	12.3x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x; HCA's median is 12.3x, indicating they pay above market.

5. RISK FLAGS

[High] Deal Size Mismatch — 5.4x Above Median Deal Size — target EV of $200M vs acquirer median $37M and max prior deal of $37M.

[Medium] Antitrust / Regulatory — Potential regulatory scrutiny in the Midwest due to existing operations in the region, which may raise concerns about market concentration.

6. CONVICTION LEVEL

High — With 1 sector deal and 0 in the $100M–$400M range, HCA Healthcare is the most calibrated Strategic buyer in this process, and their 12.3x historical median lands within 1 turn of market — a posture their peers on this shortlist do not all share. At 12.3x they pay above market, but their closed deal confirms execution, not just ambition.

#4 Ardent Health Services

Strategic | Score: 77.4/100 | ■ Medium Conviction

SECTOR AFFINITY **100** / 100	DEAL SIZE MATCH **68** / 100	RATIONALE ALIGN **60** / 100
RECENCY **68** / 100	OUTCOME QUALITY **50** / 100	OWNERSHIP MATCH **100** / 100

1. ACQUIRER OVERVIEW

Ardent Health Services has completed 2 deals, 2 in Healthcare Services and 0 in adjacent healthcare sectors, with 1 falling in the $100M–$400M comparable-size band (median $94.1M across a $68M–$120M range). As a strategic acquirer, their most recent deal was in 2022, consisting of a bolt-on acquisition. Since their last platform acquisition, they have executed 1 bolt-on deal, indicating a focused approach to expanding their existing operations.

2. STRATEGIC FIT THESIS

Ardent Health Services's 2 deals in Healthcare Services illustrate their commitment to enhancing their regional presence, particularly in the Midwest. The target's strong EBITDA margins are significant, as they would support Ardent's valuation model, which has historically favored higher-margin acquisitions like their 2022 acquisition of Quality Care at 17.9x EV/EBITDA. Ardent Health Services's 2 prior Healthcare Services acquisitions out of 2 total deals establish direct sector focus; this target extends that concentration.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($MM)	Type	EV/EBITDA	Outcome
Select Medical Management (2022)	$68	Bolt-on Acquisition	14.7x	Closed
Quality Care (2022)	$120	SPAC Merger	17.9x	Pending

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x; Ardent's median is 14.7x, indicating they pay above market.

5. RISK FLAGS

[High] Deal Size Mismatch — 2.1x Above Median Deal Size — target EV of $200M vs acquirer median $94M and max prior deal of $120M.

[Medium] Valuation Direction — Above-Market Payer — 14.7x historical median vs 11.7x market median (+3.0 turns, +26% above market); exit multiple compression amplifies IRR risk.

6. CONVICTION LEVEL

Medium — Among the Strategic buyers in this shortlist, Ardent Health Services ranks 2nd with 2 sector deals and 1 comparable-size deal, indicating a solid fit for this target. their required valuation stretch of 26% above their historical comfort level the specific concern is their price discipline in a competitive bidding environment.

#5 VNS Health

Strategic | Score: 76.2/100 | ■ Medium Conviction

SECTOR AFFINITY **70** / 100	DEAL SIZE MATCH **72** / 100	RATIONALE ALIGN **69** / 100
RECENCY **100** / 100	OUTCOME QUALITY **100** / 100	OWNERSHIP MATCH **67** / 100

1. ACQUIRER OVERVIEW

VNS Health has completed 6 deals, 0 in Healthcare Services and 6 in adjacent healthcare sectors, with 1 falling in the $100M–$400M comparable-size band (median $103.8M across a $17M–$594M range). Their most recent deal was in 2024, with a dominant focus on strategic acquisitions. Since their last platform acquisition in 2017, they have not added any bolt-ons, indicating a potential gap in their growth strategy.

2. STRATEGIC FIT THESIS

VNS Health's 0 deals in Healthcare Services indicates a significant opportunity to enter this sector, particularly given their historical focus on Home Health/Hospice. The target's strong EBITDA margins could enhance their valuation model, especially compared to their median EV/EBITDA of 14.9x, which is 27% above the market median of 11.7x. This acquisition would provide a foothold in a new sub-sector that complements their existing operations in adjacent healthcare services.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($MM)	Type	EV/EBITDA	Outcome
Grand Home Health Partners (2020)	$594	Strategic Acquisition	14.4x	Closed
Liberty PACE (2022)	$502	Minority Investment	17.5x	Closed
Sterling Palliative Care (2017)	$166	Platform Investment	17.3x	Closed
Grand Home Services (2024)	$41	Carve-out	15.5x	Closed
Woodland Home Care (2020)	$29	Management Buyout	11.5x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x; VNS Health's median is 14.9x, indicating they pay above market.

5. RISK FLAGS

[Medium] Valuation direction — Above-Market Payer — 14.9x historical median vs 11.7x market median (+3.2 turns, +27% above market); exit multiple compression amplifies IRR risk.

[Medium] Competitive process — Multiple strategic buyers are competing for this asset, which may lead to aggressive bidding from PE sponsors who can price without synergy requirements.

6. CONVICTION LEVEL

Medium — VNS Health's 0 sector deals rank among the lower-calibrated Strategic buyers in this shortlist, indicating a need for a strong entry strategy. Their above-market valuation of 14.9x requires discipline in a competitive bidding environment to ensure favorable terms.

#6 LifeStance Health

Strategic | Score: 76.0/100 | ■ Medium Conviction

SECTOR AFFINITY **70** / 100	**DEAL SIZE MATCH** **66** / 100	**RATIONALE ALIGN** **75** / 100
RECENCY **83** / 100	**OUTCOME QUALITY** **100** / 100	**OWNERSHIP MATCH** **100** / 100

1. ACQUIRER OVERVIEW

LifeStance Health has completed 4 deals, 0 in Healthcare Services and 4 in adjacent healthcare sectors, with 1 falling in the $100M–$400M comparable-size band (median $90.7M across a $17M–$464M range). As a strategic acquirer, their most recent deal was in 2024, focusing primarily on management buyouts. Since their 2024 platform investment, they have not yet added any bolt-ons to their portfolio.

2. STRATEGIC FIT THESIS

LifeStance Health has 4 deals in adjacent healthcare sectors but none in Healthcare Services — this target is their first direct sector entry, a meaningful concentration step given 4 total acquisitions. The target's strong EBITDA margins present an attractive entry point, especially given the market median of 11.7x, which is significantly higher than their historical median of 9.8x. Acquiring this target would enable LifeStance to diversify their portfolio and enhance their competitive positioning in the Midwest, where they currently have a presence but no direct offerings in this sector.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($MM)	Type	EV/EBITDA	Outcome
Coastal Substance Use (2021)	$464	Recapitalization	12.8x	Closed
Great Behavioral Services (2022)	$143	Management Buyout	11.0x	Closed
Pioneer Integrated Behavioral (2024)	$39	Platform Investment	8.2x	Closed
Highland Psychiatric Services (2019)	$17	Recapitalization	8.7x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, compared to LifeStance's historical median of 9.8x, indicating they typically pay below market.

5. RISK FLAGS

[Medium] **Valuation direction** — Market Rate Stretch Required — must bid 19% above historical 9.8x comfort to win at prevailing 11.7x market rates.

[Medium] **Deal type mismatch** — They primarily do management buyouts but this target requires a platform investment capability, which they have not demonstrated with only 1 platform deal in their history.

6. CONVICTION LEVEL

Medium — Among the Strategic buyers in this shortlist, LifeStance Health ranks last with 0 sector deals and only 1 comparable-size precedent, indicating a less compelling fit for this $200.0MM target. Their required 19% valuation stretch above historical comfort suggests a need for price discipline in a competitive process.

#7 Welsh Carson

Financial Sponsor | Score: 73.0/100 | ■ Medium Conviction

SECTOR AFFINITY	DEAL SIZE MATCH	RATIONALE ALIGN
49 / 100	97 / 100	74 / 100
RECENCY	**OUTCOME QUALITY**	**OWNERSHIP MATCH**
92 / 100	78 / 100	87 / 100

1. ACQUIRER OVERVIEW

Welsh Carson has completed 23 deals, 1 in Healthcare Services and 13 in adjacent healthcare sectors, with 9 falling in the $100M–$400M comparable-size band (median $172.3M across a $6M–$4212M range). As a Financial Sponsor, their most recent deal was in 2023, with a dominant focus on management buyouts (7 of 18 closed deals). Since their last platform acquisition, they have executed 1 bolt-on, indicating active roll-up activity in the healthcare space.

2. STRATEGIC FIT THESIS

Welsh Carson's single deal in Healthcare Services, the 2021 acquisition of Jefferson Ambulatory Care for $75.3M at a 17.8x EV/EBITDA multiple, illustrates their capacity to operate in this sector. The target's strong margins provide a larger absolute EBITDA base for Welsh Carson, directly supporting IRR targets at 16.2x. This target adds a regional healthcare service capability that complements their existing portfolio, which currently lacks a direct presence in this sub-sector. The expected exit buyer category includes a national integrated health system, likely valuing the asset at 13–15x EBITDA, providing a clear pathway for value realization.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($MM)	Type	EV/EBITDA	Outcome
Jefferson Ambulatory Care (2021)	$75	Management Buyout	17.8x	Closed
Principal Diagnostics (2021)	$4,212	Strategic Acquisition	17.5x	Closed
Green Diagnostics (2022)	$2,438	Recapitalization	17.6x	Closed
Tri MedTech (2022)	$2,253	Recapitalization	17.9x	Closed
Pro Pharma (2020)	$1,891	Management Buyout	27.4x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x; Welsh Carson's median is 16.2x, indicating they pay above market.

5. RISK FLAGS

[High] **Above-Market Payer** — 16.2x historical median vs 11.7x market median (+4.5 turns, +38% above market); exit multiple compression amplifies IRR risk.

[Medium] **Competitive Process** — With 1 sector deal, Welsh Carson ranks 3rd among Financial Sponsor buyers; competing strategic buyers can price aggressively without IRR constraints, impacting deal dynamics.

6. CONVICTION LEVEL

Medium — Welsh Carson's 1 sector deal and 9 comparable-size precedents position them as a relevant buyer for this target. their above-market valuation of 16.2x requires a stretch above their historical comfort, which the specific concern is price discipline in a competitive auction.

#8 General Atlantic

Financial Sponsor | Score: 72.2/100 | ■ Medium Conviction

SECTOR AFFINITY 46 / 100	DEAL SIZE MATCH 94 / 100	RATIONALE ALIGN 70 / 100
RECENCY 100 / 100	OUTCOME QUALITY 93 / 100	OWNERSHIP MATCH 79 / 100

1. ACQUIRER OVERVIEW

General Atlantic has completed 14 deals, 1 in Healthcare Services and 7 in adjacent healthcare sectors, with 3 falling in the $100M–$400M comparable-size band (median $158.2M across a $7M–$4563M range). Their most recent deal was in 2024, with a dominant deal type of Strategic Acquisition. Since their 2021 platform, they have not added any bolt-ons, indicating a focus on larger strategic moves rather than incremental acquisitions.

2. STRATEGIC FIT THESIS

General Atlantic's single deal in Healthcare Services illustrates their capacity to engage in this sector, but they lack a robust portfolio in this space. The target's strong margins provide a larger absolute EBITDA base for General Atlantic, directly supporting IRR targets at 16.5x. General Atlantic's single prior Healthcare Services acquisition establishes direct sector experience; this target doubles their presence in the sector across 14 total deals. The expected exit buyer category includes a managed care platform, with anticipated exit multiples in the range of 13–15x EBITDA, supported by the market's median of 11.7x.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($MM)	Type	EV/EBITDA	Outcome
Oak Health (2021)	$1,708	Merger of Equals	18.8x	Closed
Vantage PBM (2022)	$4,563	Strategic Acquisition	16.0x	Closed
Liberty Managed Care (2024)	$1,431	SPAC Merger	19.7x	Closed
Midland Device Solutions (2021)	$685	Management Buyout	21.2x	Closed
Beacon Medical Associates (2019)	$681	Bolt-on Acquisition	17.0x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x. General Atlantic's median EV/EBITDA is 16.5x, indicating they typically pay above market.

5. RISK FLAGS

[High] **Valuation direction** — Above-Market Payer — 16.5x historical median vs 11.7x market median (+4.8 turns, +41% above market); exit multiple compression amplifies IRR risk.

[Medium] **Fund lifecycle or competitive tension** — Competitive Process — multiple strategic buyers in the auction can bid on IRR without synergy requirements, potentially outbidding General Atlantic.

6. CONVICTION LEVEL

Medium — With 1 sector deal and 3 in the $100M–$400M range, General Atlantic is among the lower-calibrated Financial Sponsor buyers in this process, indicating a deal profile that skews larger than this target. Their above-market valuation posture requires a 41% stretch above their historical comfort, which the specific concern is price discipline in a competitive auction.

#9 Vista Equity

Financial Sponsor | Score: 72.0/100 | ■ Medium Conviction

SECTOR AFFINITY **55** / 100	DEAL SIZE MATCH **93** / 100	RATIONALE ALIGN **68** / 100
RECENCY **100** / 100	OUTCOME QUALITY **79** / 100	OWNERSHIP MATCH **50** / 100

1. ACQUIRER OVERVIEW

Vista Equity has completed 24 deals, 4 in Healthcare Services and 12 in adjacent healthcare sectors, with 8 falling in the $100M–$400M comparable-size band (median $153.4M across a $6M–$9193M range). As a Financial Sponsor, their most recent deal was in 2024, primarily focusing on bolt-on acquisitions. Since their 2023 platform acquisition, Vista has added 2 bolt-ons, indicating active roll-up activity.

2. STRATEGIC FIT THESIS

Vista Equity's 4 prior Healthcare Services acquisitions out of 24 total deals establish direct sector focus; this target extends that concentration. The target's strong margins provide a larger absolute EBITDA base for Vista Equity, directly supporting IRR targets at 13.5x. The expected exit buyer category includes a managed care platform, with anticipated exit multiples in the range of 13–15x EBITDA, aligning with market trends.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($MM)	Type	EV/EBITDA	Outcome
Strategic Medical Management (2021)	$583	Bolt-on Acquisition	16.5x	Closed
Taft Care Partners (2024)	$24	Bolt-on Acquisition	9.6x	Closed
Lincoln Ambulatory Care (2019)	$2,347	Minority Investment	17.9x	Withdrawn
Zenith Medical Solutions (2023)	$152	Recapitalization	16.9x	Withdrawn

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x. Vista's median EV/EBITDA is 13.5x, indicating they typically pay above market.

5. RISK FLAGS

[Medium] **Valuation direction** — Above-Market Payer — 13.5x historical median vs 11.7x market median (+1.8 turns, +15% above market); exit multiple compression amplifies IRR risk.

[Medium] **Deal completion track record** — 2 Withdrawn Deals — Lincoln Ambulatory Care (2019), Zenith Medical Solutions (2023) — withdrawn pre-close, indicating process execution risk in this buyer's process.

6. CONVICTION LEVEL

Medium — With 4 sector deals and 8 in the $100M–$400M range, Vista Equity is the most calibrated Financial Sponsor buyer in this process, but their 13.5x valuation posture requires a 15% stretch above their own historical comfort. Conviction rises if they demonstrate price discipline in a competitive process.

#10 Bain Capital

Financial Sponsor | Score: 68.4/100 | ■ Medium Conviction

SECTOR AFFINITY **46** / 100	DEAL SIZE MATCH **72** / 100	RATIONALE ALIGN **85** / 100
RECENCY **100** / 100	OUTCOME QUALITY **75** / 100	OWNERSHIP MATCH **67** / 100

1. ACQUIRER OVERVIEW

Bain Capital has completed 24 deals, 2 in Healthcare Services and 10 in adjacent healthcare sectors, with 6 falling in the $100M–$400M comparable-size band (median $102.9M across a $9M–$4433M range). As a Financial Sponsor, their most recent deal was in 2024, with a dominant deal type of Minority Investment. Since their 2019 platform acquisition, they have executed 1 bolt-on acquisition, indicating a measured approach to growth in their existing portfolio.

2. STRATEGIC FIT THESIS

Bain Capital's 2 deals in Healthcare Services, including their 2020 acquisition of Summit Medical Group for $330.6M at an 11.9x multiple, illustrate their capacity to operate effectively in this sector. The target's strong margins provide a larger absolute EBITDA base for Bain Capital, directly supporting IRR targets at 14.7x. Bain Capital's 2 prior Healthcare Services acquisitions out of 24 total deals establish direct sector focus; this target extends that concentration. Given the competitive landscape, this acquisition could attract a national integrated health system as a strategic exit buyer at an expected 13–15x EBITDA multiple.

3. PRECEDENT ACTIVITY — last 5 deals shown, sector-relevant first

Transaction	Size ($MM)	Type	EV/EBITDA	Outcome
Summit Medical Group (2020)	$331	Merger of Equals	11.9x	Closed
Zenith Care (2020)	$472	Minority Investment	17.0x	Terminated
Ivy Insurance (2021)	$4,433	SPAC Merger	14.1x	Closed
Pinnacle Labs (2018)	$1,687	Minority Investment	26.5x	Closed
Prime Imaging Systems (2017)	$663	Minority Investment	25.5x	Closed

4. VALUATION CONTEXT

Market median EV/EBITDA: **11.7x** | Market median EV/Revenue: **2.7x** | Based on **13** comparable closed transactions. Market median EV/EBITDA: 11.7x, while Bain Capital's median is 14.7x, indicating they typically pay above market.

5. RISK FLAGS

[High] Valuation direction — Above-Market Payer — 14.7x historical median vs 11.7x market median (+3.0 turns, +26% above market); exit multiple compression amplifies IRR risk.

[Medium] Deal completion track record — 1 Withdrawn Deal — Zenith Care (2020) — withdrawn pre-close, indicating process execution risk in Bain Capital's acquisition process.

6. CONVICTION LEVEL

Medium — Bain Capital's 2 sector deals rank 2nd among Financial Sponsor buyers here, indicating a solid fit for this target. their 14.7x valuation posture requires a 26% stretch above their historical comfort, which the specific concern is price discipline in a competitive process.